

New rules governing taxation of offshore indirect transfers

Matthew Y. Lau and Paul D. McKenzie summarize and discuss SAT's Public Notice 7 and its expanded scope with regard to transfers to Mainland entities or properties by offshore investors

On 3 February, China's State Administration of Taxation released its *Public Notice of SAT Concerning Several Matters Relating to Corporate Income Tax on Indirect Transfer of Properties by Non-tax Resident Enterprises*, Public Notice [2015] No. 7.

This so-called Public Notice 7, which became effective that day, largely replaces the previous guidance in the *Circular of SAT on Reinforcing the Administration of CIT collection on Income Derived from Equity Transfer by Non-TREs*, known as Circular 698.

It also applies to transactions that took place before 3 February but for which the relevant tax has not yet been settled. Public Notice 7 introduces significant changes to the scope of indirect transfer transactions subject to tax and the reporting and withholding obligations of the parties to an indirect transfer transaction.

Application of Public Notice 7

Circular 698 applied only to the indirect transfer of equity interests in Mainland entities. Public Notice 7 expands the scope of indirect transfers to include transfers of (i) property rights of an "establishment or site" (which is similar to the concept of a "permanent establishment") in China, (ii) real property in China, and (iii) equity investments in Chinese resident enterprises. These are collectively considered taxable property. Thus, Public Notice 7 captures not only share or other equity transfers as Circular 698 did, but also transfers of other forms of interest.

An indirect transfer of taxable

property under Public Notice 7 is defined as a transfer by a non-resident company of an equity interest or other similar right or interest in another offshore enterprise that in turn directly or indirectly holds taxable property, which effectively has the same or a similar effect to a direct transfer of such taxable property.

Reasonable commercial purpose

Under Public Notice 7, an indirect transfer is regarded as a direct transfer of taxable property and subject to tax if, among other things, the transfer lacks "a reasonable commercial purpose."

While Public Notice 7 provides that the tax authorities should take into account all relevant arrangements in connection with an indirect transfer of taxable property in determining whether the transfer lacks a reasonable commercial purpose, it specifically highlights a list of factors that would be "comprehensively analysed," including:

- Whether the value of target is mainly derived (directly or indirectly) from taxable property;
- Whether the assets of the target mainly consist of direct or indirect investments situated in China, and whether its revenue is mainly sourced directly or indirectly from China;
- Whether the actual functions performed and risks assumed by the seller (and its affiliates that directly or indirectly hold taxable property, i.e. target) could demonstrate that the enterprise structure has economic substance;
- How long the shareholders, operation model and relevant corporation structures of the target have been in existence;
- Whether the indirect transfer is taxable in the offshore jurisdictions and the relevant

tax liabilities;

- The substitutability of indirect investment or indirect transfer of taxable property, and direct investment or direct transfer of taxable property;
- How a tax convention or arrangement of China will apply to such indirect transfer of taxable property; and
- Other relevant factors.

While these factors appear to still heavily focus on the substance of the offshore enterprise, certain factors such as the substitutability of indirect transfer and direct transfer seem to look beyond the operations of the offshore enterprise to the commercial reasons behind the entire corporate structure.

Public Notice 7 also specifies the conditions under which a transaction will be deemed to lack a reasonable commercial purpose and grants a safe harbor under certain qualifying circumstances, including transfers in the public securities market and certain intragroup restructuring transactions.

Reporting the transaction

Under Circular 698, the seller is required to submit a report of an indirect transfer transaction to the appropriate tax authority. Under Public Notice 7, reporting is voluntary rather than mandatory.

Presumably, a party will elect not to report only if it is confident that there will be no taxes payable under Public Notice 7. In addition, under Public Notice 7, the buyer of an equity interest in the target, the seller or the underlying Mainland subsidiaries may submit a report.

From the buyer's perspective, there should be an incentive to report the transaction under Public Notice 7 since this mitigates their risk of being subject to penal-



ties for not withholding or under-withholding taxes on the transaction, as described below.

Withholding the payment of taxes

Under Circular 698, there was no requirement for the buyer to withhold any taxes, or for seller to remit any taxes to the Mainland tax authority. Generally, taxes were only due on an audit or examination. Under Public Notice 7, the tax liability arises on the relevant date, which is defined as when the equity transfer contract or agreement takes effect and the transfer of equity interest in target is completed.

Under Public Notice 7, the buyer is required to withhold the applicable taxes and submit them to the Mainland tax authority. Public Notice 7 does not specify exactly when the buyer must submit the withholding taxes, although presumably it must be done shortly after the relevant date (e.g. seven days after the relevant date – see seller's obligations below).

If the buyer does not withhold (or under-withholds), then the seller is required to report the transaction to the tax authority and pay the applicable taxes within seven days from the relevant date. The seller must also submit documents showing the calculation

of the sales proceeds and the amount of taxes payable.

Further, if seller fails to pay tax in full within the prescribed time limit, it is subject to late payment interest calculated daily, applying the benchmark rate published by the People's Bank of China if the seller has reported the transaction within 30 days after the signing date of the transaction document. If the seller has not so reported, the daily interest rate is the benchmark rate plus 5 percent.

If the buyer does not withhold (or under-withholds), and the seller fails to pay the tax, then the tax authority may impose penalties on the buyer. Generally, the penalties range from 50 percent to 300 percent of the unpaid taxes.

However, Public Notice 7 states that if the buyer has reported the transaction within 30 days after the signing date of the transaction agreement, the buyer may be exempted from or receive reduced penalties.

Things to watch for

Generally, the applicable taxes on an indirect transfer amount to 10 percent of the capital gains on the transaction. Capital gains are generally calculated as (i) the sales proceeds minus (ii) the seller's tax basis in the trans-

ferred equity or property.

Although Public Notice 7 requires the buyer to withhold the applicable taxes, it does not specify how the buyer must obtain the information necessary to calculate the applicable taxes or whether the buyer is allowed to rely on information provided by the seller.

For example, if the seller fails to disclose pertinent information to buyer for the purpose of calculating the applicable taxes, would the buyer still be subject to penalties for any under-withholding of taxes?

In addition, what if the parties disagree on whether the transaction is subject to taxation under Public Notice 7? These questions remain unanswered, and it will be interesting to see how SAT will address them in implementing Public Notice 7 and in subsequent guidance.



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